



Persistent Systems reported extremely solid numbers in Q1FY23 with a beat on our estimates across the board

- \$ revenue: \$241.5 Mn, +11.1% qoq / +44.8% yoy and 2% above our estimates
- Services (92.9% of revenue) grew at 13.5% qoq / +55% yoy while IP led business (7.1% of revenue) down -12.8% qoq / -22.7% yoy
- INR revenue at 18,781 Mn, +14.7% qoq / +52.7% yoy and +2.8% above our estimates
- EBITDA: INR 3,332.9 Mn, +18.5% qoq / +65.4% yoy and +7% vs our estimates
- EBITDA margins: 17.7%, vs 17.2% / 16.4% in Q4FY22 / Q1FY22 respectively and _60 bps above our estimates_
- EBIT: INR 2,687.8 Mn, +16.8% qoq / +61.4% yoy and 5.7% above our estimates
- EBIT margins: 14.3%, vs 14% / 13.5% in Q4FY22 / Q1FY22 respectively and 40 bps above our estimates
- PAT: INR 2,116.1 Mn, +5.3% qoq / +39.9% yoy and 2.4% below our estimates
- EPS at INR 28.5 in Q1FY23 vs 26.3 / 19.8 in Q4FY22 / Q1FY22 respectively and versus our estimate of INR 28.4
- New TTM Deal wins TCV were also encouraging and highest ever at \$230.3 Mn vs \$195.1 Mn Q4FY22
- Total TCV now stands at \$394 Mn in Q1FY23 versus \$361 Mn in Q4FY22

Segment-wise Performance

- **BFSI** (33.7% of services revenue) reported 15.6% qoq / +58.4% yoy
- **Healthcare & Lifesciences** (19.9% of revenue) reported +6.8% qoq / +40.5% yoy
- **Tech Companies** (46.4% of revenue) reported +9.9% qoq / +37.9% yoy

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
Net sales	35,658	41,879	57,107	79,760	88,938
EBITDA	4,923	6,830	9,582	13,702	15,744
Adjusted net profit	3,403	4,507	6,904	8,669	10,112
Free cash flow	1,630	5,670	5,670	4,546	12,079
EPS (Rs)	44.5	59.0	90.3	113.4	132.3
growth (%)	1%	32%	53%	26%	17%
P/E (x)	81.5	61.6	40.2	32.0	27.4
P/B (x)	81.5	61.6	40.2	32.0	27.4
EV/EBITDA (x)	55.5	39.3	27.7	19.8	16.8
ROCE (%)	10.2	14.1	18.9	21.1	20.1
RoE (%)	14.4	17.4	22.8	24.4	24.1
Dividend yield (%)	0.3	0.3	0.6	0.7	0.9

Source: Company

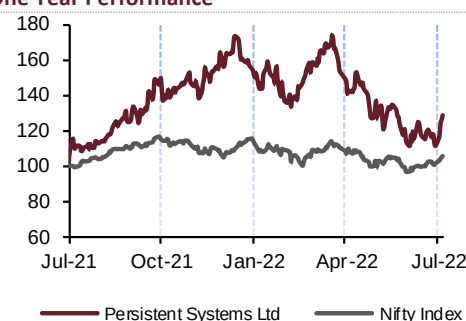
Rating	TP (Rs)	Up/Dn (%)
HOLD	3,705	2

Market data

Current price	Rs	3,633
Market Cap (Rs.Bn)	(Rs Bn)	278
Market Cap (US\$ Mn)	(US\$ Mn)	3,473
Face Value	Rs	10
52 Weeks High/Low	Rs	4,986 / 2,813
Average Daily Volume	('000)	552
BSE Code		533179
Bloomberg		PSYS.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	31.3	31.3
Public	65.9	65.6
Others	3.0	3.0
Total	100	100

Source: Bloomberg

Concall Highlights

- Out of 9.1% qoq growth - 6.8% Organic Growth and 2.3% inorganic contribution (SCI and Shree Partners saw a full quarter of consolidation while Data Glove saw 1 month of consolidation)
- Offshore Linear Growth of 11.5% qoq: Billing Rate: +1.5% qoq | Volumes: +9.8% qoq
- Onsite Linear Revenue growth of 20.1%: Billing Rate: +2.1% qoq | Volumes: +17.6%
- *Margin Walk*: +30 bps benefit due to currency and additional benefit from credit of old receivables whereas acquisition related costs impacted margins by 30 bps
- IP revenues saw a drop during the quarter due to \$ 4 Mn of restructuring of product business to T&M Services
- Headcount: addition of 700 employees from DataGlove. 25% of the organic headcount addition were freshers
- Attrition will remain elevated in the near term and will fall gradually over FY23
- Lower ETR in the current quarter due to lower tax in foreign jurisdictions. Normal ETR to be in the range of 25.5-26.5%
- Current TCV does not include Order intake from acquisitions and therefore is comparable to previous periods
- Deal sizes and capabilities should improve due to recent acquisitions
- Expect to close the acquisition of MediaAgility in the next 1-2 weeks
- Added several leaders at the senior level

Outlook:

- Industry-leading growth to continue in FY23e
- Current margins are defensible as per management. Headwinds include higher wage hikes due to inflation and higher amortization (impact of 70 bps in FY23e and up by 50 bps yoy). Tailwinds include fresher hiring and scale from revenue growth
- IP revenue is expected to grow at 10-15% in FY23e

Quarterly Deviation Sheet

YE March (Rs. Mn)	Q1 FY23	Q4 FY22	Q-o-Q change %	Q1 FY22	Y-o-Y change %
Net Sales (US\$ Mn)	241.5	217.3	11.1%	167	44.8%
Net Sales (INR Mn)	18,781	16,379	14.7%	12,299	52.7%
Less:					
Employees Remuneration & Benefits	13,710	12,213	12.3%	9,128	50.2%
SG&A Expenses	1,739	1,354	28.4%	1,156	50.4%
Total Operating Expenditure	15,448	13,567	13.9%	10,284	50.2%
EBITDA	3,333	2,812	18.5%	2,015	65.4%
EBIT	2,688	2,300	16.8%	1,665	61.4%
Less: Depreciation	645	511	26.2%	350	84.3%
Less: Interest	79	49	59.9%	23	248.5%
Add: Other income	210	421	(50.1%)	388	(45.9%)
Profit Before Tax	2,819	2,672	5.5%	2,031	38.8%
Adjusted Profit s	2,819	2,672	5.5%	2,031	38.8%
Less: Total Tax	703	662	6.1%	518	35.6%
PAT	2,116	2,010	5.3%	1,512	39.9%
Adjusted PAT	2,116	2,010	5.3%	1,512	39.9%
Reported Diluted EPS (Rs.)	27.7	26.3	5.3%	19.8	39.9%
Adjusted Diluted EPS (Rs.)	27.7	26.3	5.3%	20	39.9%
No of Shared Diluted (mn)	76	76		76	
Margin Analysis %			Change in bps		Change in bps
EBIT margin	14.3%	14.0%	27	13.5%	77
EBIDTA Margin	17.7%	17.2%	58	16.4%	136
NPM	11.3%	12.3%	(100)	12.3%	(103)
Adjusted NPM	11.3%	12.3%	(100)	12.3%	(103)
Effective Tax Rate %	24.9%	24.8%	15	25.5%	(59)
Cost Analysis %			Change in bps		Change in bps
Employee Cost/Net Sales	73.0%	74.6%	(157)	74.2%	(122)
SG&A/Net sales	9.3%	8.3%	99	9.4%	(14)

Source: Company, D&B Research

Valuation & Outlook

Persistent Systems is currently trading at 32x / 27.4x FY23e/FY24e EPS respectively.

Persistent Systems has consistently delivered growth in the leader's quadrant in the Indian IT pack with stable margins over the last 5 quarters. New deal wins are at an all-time high and extremely encouraging over the last several quarters. Attrition has been controlled albeit at an elevated rate. We expect the company to continue its strong execution rate coupled with healthy momentum in deal wins over the next 2 years.

Taking the above factors into consideration, we maintain Persistent Systems as our top pick in the Indian IT space. We recommend a HOLD rating and our target multiple of 28x FY24e EPS of INR 132.3 to arrive at TP of INR 3,705.

Financials

Profit & Loss A/c					
YE March (Rs. mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
Net Sales	35,658	41,879	57,107	79,760	88,938
<i>Growth %</i>	5.9%	17.4%	36.4%	39.7%	11.5%
Total Revenue	35,658	41,879	57,107	79,760	88,938
Employee Cost & Related Expen:	25,475	30,722	42,567	57,912	63,412
Miscellaneous Expenses	5,260	4,327	4,958	8,146	9,783
Total Operating Expenditure	30,735	35,049	47,526	66,058	73,195
EBIDTA	4,923	6,830	9,582	13,702	15,744
<i>Growth %</i>	-10.6%	38.8%	40.3%	43.0%	14.9%
Less: Depreciation	1,660	1,756	1,660	2,730	2,781
EBIT	3,263	5,075	7,922	10,972	12,963
<i>Growth %</i>	-17.1%	55.5%	56.1%	38.5%	18.1%
Interest Paid	63	58	118	315	276
Non-operating Income	1,324	1,078	1,440	891	978
Profit Before tax	4,523	6,094	9,243	11,547	13,665
Tax	1,121	1,588	2,339	2,878	3,553
Net Profit	3,403	4,507	6,904	8,669	10,112
Adjusted Profit	3,403	4,507	6,904	8,669	10,112
Reported Diluted EPS Rs	44.5	59.0	90.3	113.4	132.3
<i>Growth %</i>	1.3%	32.4%	53.2%	25.6%	16.6%
Adjusted Diluted EPS Rs	44.5	59.0	90.3	113.4	132.3
<i>Growth %</i>	1.3%	32.4%	53.2%	25.6%	16.6%

Key Ratios					
YE March (Rs. mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
EBIDTA (%)	13.8%	16.3%	16.8%	17.2%	17.7%
NPM (%)	9.5%	10.8%	12.1%	10.9%	11.4%
RoE (%)	14.4%	17.4%	22.8%	24.4%	24.1%
RoCE (%)	10.2%	14.1%	18.9%	21.1%	20.1%
Tax Rate %	24.8%	26.1%	25.3%	24.9%	26.0%
Book Value Per share (Rs.)	312.2	365.8	427.1	504.0	593.7
Valuation Ratios					
P/E (x)	81.5x	61.6x	40.2x	32.0x	27.4x
EV/EBITDA	55.5x	39.3x	27.7x	19.8x	16.8x
P/BV (x)	11.6x	9.9x	8.5x	7.2x	6.1x
Market Cap. / Sales (x)	7.8x	6.6x	4.9x	3.5x	3.1x

Balance Sheet (Consolidated)					
YE March(Rs. mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
Liabilities					
Equity Capital	764	764	764	764	764
Reserves & Surplus	23,093	27,192	31,873	37,751	44,607
Equity	23,858	27,957	32,637	38,515	45,371
Net Worth	23,858	27,957	32,637	38,515	45,371
Total Loans	407	760	760	5,260	5,260
Capital Employed	24,448	28,958	33,753	44,212	51,171
Assets					
Gross Block	7,370	7,885	8,885	15,814	16,814
Less: Depreciation	5,145	5,483	7,143	9,874	12,655
Net Block	2,225	2,401	1,741	5,941	4,160
Investments	5,311	4,089	4,358	4,711	4,914
Intangible Assets	1,661	1,315	1,794	6,989	6,989
Current Assets					
Sundry Debtors	5,922	5,709	7,823	10,926	12,183
Current Investments	5,165	6,375	7,424	9,571	10,673
Cash and Bank Balance	4,572	9,809	13,140	11,550	18,739
Total Current Assets	20,032	26,838	34,697	40,063	50,533
Less: Current Liabilities & Provisions					
Sundry Creditors	2,247	2,733	3,776	5,248	5,815
Total Current Liabilities & Provision	6,474	7,697	11,048	15,699	17,887
Capital Applied	24,448	28,958	33,753	44,212	51,171

Cash Flows (Consolidated)					
YE March (Rs. Mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
PAT	3,403	4,507	6,904	8,669	10,112
Add: Depreciation	1,660	1,756	1,660	2,730	2,781
Add: Interest Paid	63	58	118	315	276
Operating Profit before WC Changes	3,802	5,242	7,243	10,824	12,191
(Inc)/Dec in Current Assets	-1,250	-359	-3,479	-4,809	-2,180
Inc/(Dec) in Current Liabilities	1,629	1,223	3,351	4,651	2,187
Net Cash Generated From Operation	4,181	6,107	7,114	10,666	12,199
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	20	-515	-1,000	-6,930	-1,000
Add: Non Operating Income	1,324	1,078	1,440	891	978
Cash Flow from Investing Activities	406	2,098	-730	-12,214	-478
Cash Flow from Financing Activities					
Dividend Paid	-917	-1,577	-1,933	-2,427	-2,831
Net Cash Flow from Financing Activities	-4,303	-1,472	-2,227	1,475	-3,430
Net Inc/Dec in cash equivalents	284	6,733	4,157	-72	8,291
Opening Balance	6,724	4,572	9,809	13,140	11,550
Closing Cash Balance	7,008	11,305	13,966	13,067	19,840

Free Cash Flow Analysis					
	FY 20	FY 21E	FY 22E	FY 23E	FY 23E
EBITDA	4,923	6,830	9,582	13,702	15,744
Add: Depreciation Tax Shield	411	457	420	681	723
Working Capital Changes	-2,604	485	-993	-29	165
Less: Inc in FC Investment	-20	515	1,000	6,930	1,000
Taxes Paid	1,121	1,588	2,339	2,878	3,553
Total Free Cash Flows	1,630	5,670	5,670	4,546	12,079

Source: Dalal & Broacha Research, Company

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